

Alphabet Inc.

GOOGL

DRAFT

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Atlas · Updated June 03, 2026

Digital Advertising

Cloud / AI Infrastructure

Frontier AI

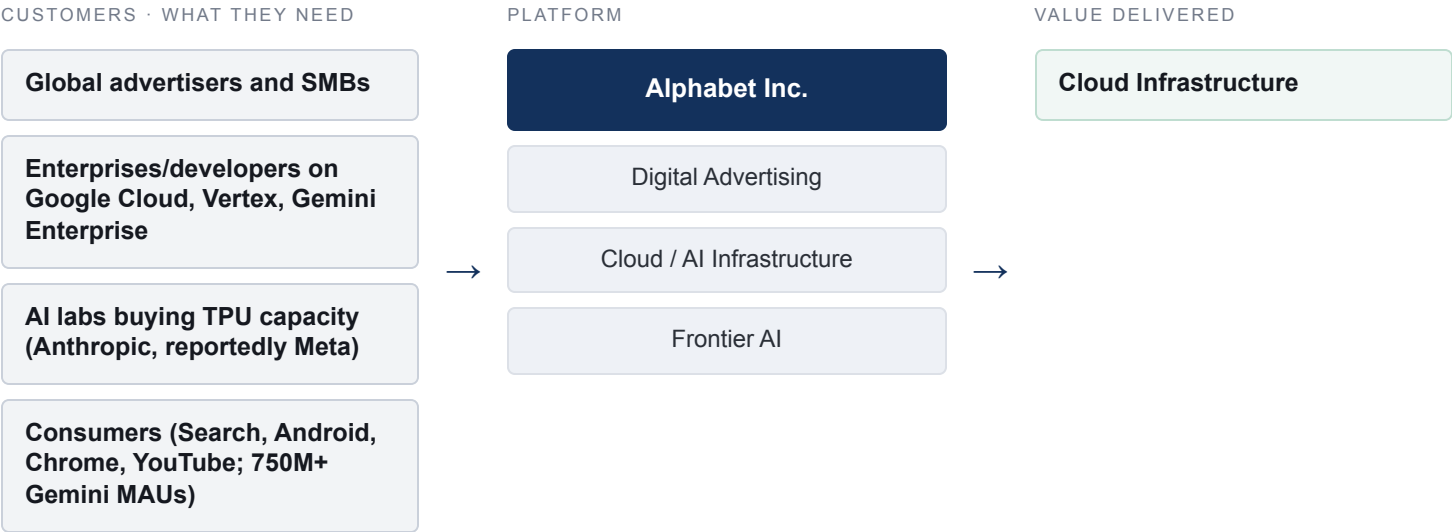
Consumer Platforms

MARKET CAP \$2.1T 2026-06-08 close	EV / REVENUE 5.0x LTM · 2026-06-08 close	SHARE PRICE \$363.31 2026-06-08 close
REVENUE \$109.9B +22% YoY		

BUSINESS OVERVIEW

- Alphabet (NASDAQ: GOOGL) is the holding company for Google plus 'Other Bets' moonshots, valued at ~\$2.1T (2026-06-03 close).
- Q1 2026 revenue was \$109.9B (+22% YoY), an 11th straight quarter of double-digit growth.
- Google Services: \$89.6B (+16%), Search & other \$60.4B (+19%), YouTube ads \$9.88B, subscriptions/platforms/devices \$12.4B.
- Google Cloud: \$20.0B (+63%), with enterprise AI solutions the primary Cloud growth driver for the first time.
- Operating margin expanded to 36.1%; net income \$62.6B (+81%); Cloud backlog/RPO topped \$460B.
- Full-stack AI thesis: Gemini frontier models + custom TPU silicon + global data centers + distribution across Search/Android/Workspace/Cloud.
- TPU is becoming a sellable Nvidia alternative: Anthropic up to ~\$40B/5GW, Meta in talks, a Blackstone neocloud JV.
- 2026 capex guided to \$180-190B; twin antitrust overhangs (DOJ Search appeal + adtech remedy) persist.

How the business works, left to right: who buys, what the platform provides, and the payoff.



EXECUTIVE LEADERSHIP

CEO, ALPHABET AND GOOGLE SINCE DEC 2019 (ALPHABET); OCT 2015 (GOOGLE)

Sundar Pichai

Joined Google in 2004; led Chrome and Android before becoming Google CEO (2015) and Alphabet CEO (2019). Architect of the full-stack AI strategy.

CFO & SVP, ALPHABET AND GOOGLE SINCE 2024

Anat Ashkenazi

Joined Alphabet as CFO in 2024 from Eli Lilly (CFO). Oversees the record AI capex program (\$180-190B guided for 2026).

PRESIDENT & CHIEF INVESTMENT OFFICER SINCE 2023 (PRESIDENT & CIO); CFO 2015-2024

Ruth Porat

Former Morgan Stanley CFO; Alphabet CFO 2015-2024 before transitioning to President & CIO.

PRODUCT & REVENUE MODEL

- Advertising is the cash core (Search \$60.4B +19%, YouTube ads \$9.88B, Network), sold on auction/CPC/CPM economics.
- Google Cloud (\$20.0B, +63%) monetizes consumption GCP infrastructure/platform plus Workspace SaaS, increasingly driven by enterprise AI infra (TPU/GPU compute) and AI solutions (Gemini Enterprise, Vertex AI). Subscriptions/platforms/devices (\$12.4B) covers YouTube Premium/TV, Google One, Play take-rate, and Pixel.
- Gemini is monetized directly via API (>16B tokens/minute, +60% QoQ) and embedded across consumer and enterprise surfaces; serving unit costs fell ~78% over 2025.

RECENT NEWS

2026-04-29

Alphabet Q1 2026: revenue +22% to \$109.9B, Google Cloud surges 63% to \$20.0B

SOURCE: CNBC

11th straight quarter of double-digit growth; Cloud acceleration and 36.1% operating margin signal AI investment is converting to revenue. Cloud backlog topped \$460B.

2026-04-29

Alphabet raises 2026 capex guidance to \$180-190BSOURCE: [INVESTING.COM](#)

Up from \$175-185B and more than double 2025 spend, underscoring the scale of the AI infrastructure bet and pressuring near-term free cash flow.

2026-04-22

At Cloud Next 2026, Google makes Ironwood (7th-gen TPU) GA and previews 8th-gen TPUsSOURCE: [THE NEXT WEB](#)

Ironwood targets the 'age of inference' (9,216 chips/superpod); previewed TPU 8t (training, Broadcom) and 8i (inference, MediaTek) on TSMC 2nm cement a multi-year custom-silicon roadmap vs Nvidia.

2026-04-22

Google and Blackstone to create a TPU-based 'neocloud' serviceSOURCE: [FUTURIOM](#)

First hyperscaler to offer its AI chips outside its own cloud, opening a merchant-silicon revenue path and a direct attack on Nvidia's installed base.

2026-05-10

AI wins have Alphabet poised to become one of the world's most valuable companiesSOURCE: [FORTUNE](#)

Gemini 3 leadership and Cloud momentum re-rated the stock; Alphabet crossed \$4T in January 2026, second only to Nvidia at points in 2026.

2026-05-18

DeepMind researchers queue for TPUs as Google sells record capacity to Anthropic and MetaSOURCE: [BLOOMBERG](#)

Highlights strong external TPU demand (Anthropic up to ~\$40B/5GW; Meta in talks) alongside an internal supply-constraint risk for Google's own frontier training.

2026-05-20

Google unveils Gemini 3.5 Flash at I/O 2026 for agents and codingSOURCE: [MARKTECHPOST](#)

Cheaper, faster model extends Gemini's price/performance lead for agentic and developer workloads, improving AI gross-margin economics.

2026-02-15

DOJ and 35 states appeal Search remedy; adtech remedies ruling loomsSOURCE: [ADEXCHANGER](#)

After the judge rejected a forced Chrome divestiture, the appeal seeks tougher structural remedies; the separate adtech case still threatens divestiture of Google's ad-exchange business, a multi-year overhang.

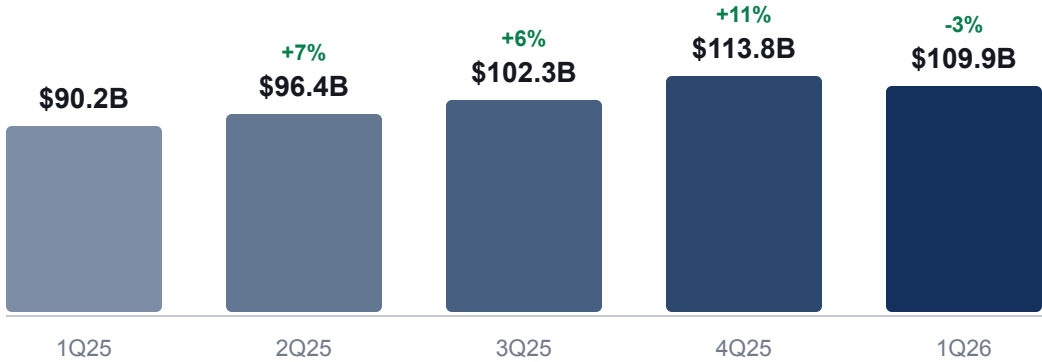
FINANCIALS & KEY METRICS

Reporting period: Q1 2026 (ended March 31, 2026); most recent reported; reported 2026-04-29. Each metric is tagged with the period it covers;

LTM and as-of figures are labeled individually.

REVENUE \$109.9B +22% YoY Q1 2026	GOOGLE SERVICES \$89.6B +16% YoY Q1 2026	SEARCH AND OTHER \$60.4B +19% YoY Q1 2026	YOUTUBE ADS \$9.88B Q1 2026
GOOGLE CLOUD \$20.0B +63% YoY Q1 2026	OPERATING INCOME \$39.7B +30% YoY Q1 2026	OP MARGIN 36.1% Q1 2026	NET INCOME \$62.6B +81% YoY Q1 2026
CLOUD BACKLOG RPO >\$460B Q1 2026	GEMINI MAUS 750M+ Q1 2026	GUIDANCE \$180B-\$190B GUIDANCE	

QUARTERLY REVENUE (\$B)



LAST 5 QUARTERS

	1Q25	2Q25	3Q25	4Q25	1Q26
REVENUE	\$90.2B	\$96.4B	\$102.3B	\$113.8B	\$109.9B
QOQ		+6.9%	+6.1%	+11.2%	-3.5%
GROSS MARGIN	59.7%	59.5%	59.6%	59.8%	62.4%

SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (1Q26): 21.8% YoY revenue growth.

- **AI / Product:** AI was the dominant narrative. Management framed the 'full-stack' approach, Gemini models, custom TPU silicon, global infrastructure, distribution, as lighting up every part of the business.
- **Demand:** Demand was broad-based. Cloud accelerated to 63% on enterprise AI infrastructure and solutions, with a >\$460B backlog of multi-year committed contracts.

KEY RISKS & DEBATES

- ! **AI-native query disruption:** generative answers could erode long-term Search ad clicks even as near-term query volume rises.
- ! **Capital intensity:** \$180-190B 2026 capex more than doubles 2025 and pressures near-term FCF if AI revenue lags.
- ! **Antitrust:** DOJ/35-state Search appeal seeks tougher remedies; the separate adtech case still threatens an ad-exchange divestiture.
- ! **TPU supply is a two-edged sword:** selling record external capacity (Anthropic, Meta) leaves DeepMind queuing for its own compute.
- ! Cloud is #3 and must keep closing the gap on AWS/Azure to justify the re-rating.
- ! Other Bets remain a ~\$2.1B/quarter operating loss with Waymo still pre-scale.
- ! **Valuation:** after crossing \$4T, the stock prices in continued AI and Cloud execution.

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	NOTE
Alphabet	GOOGL	Subject	5.0x	21.8%	60.4%	Cheapest mega-cap on EV/Rev despite the fastest growth ex-Nvidia; ads cash core + 63%-growth Cloud + full-stack AI
Microsoft	MSFT	Cloud/AI peer	9.8x	18.3%	68.3%	Closest cloud+AI comparable; Azure +40%, at roughly 2x Alphabet's EV/Rev
Meta Platforms	META	Advertising peer	6.0x	33.1%	81.9%	The other half of the ad duopoly; faster growth and richer margin, trades above Alphabet
Amazon	AMZN	Cloud/ads peer	3.7x	16.6%	50.6%	AWS is the #1 cloud Alphabet is chasing; lowest EV/Rev of the group on retail mix
Apple	AAPL	Mega-cap peer	9.8x	16.6%	47.9%	Largest by market cap; a Gemini customer for next-gen Siri
Nvidia	NVDA	AI compute	19.8x	85.2%	74.1%	Alphabet's TPUs are the in-house alternative to Nvidia GPUs; the AI-cycle multiple anchor

SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-06-08 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY) and Gross Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above.

DEMAND SIGNAL · corporate-card spend & adoption, Ramp Data

Google Ads holds #2 in Paid-Ads card spend (behind Meta), but Google captures only ~4.5% of AI-vendor adoption, Gemini barely registers in the LLM spend race that OpenAI and Anthropic now split ~99% of.

CATEGORY	SPEND SHARE	ADOPTION RATE	LLM ADOPTION SHARE
Paid Ads Google Ads	26.2% #2, behind Meta 56%	27.7% -1.6% YoY	4.5% vs OpenAI 32% / Anthropic 34%

VENDOR	ADOPTION	SPEND SHARE	ADOPTION YOY	NOTE
Meta (Facebook Ads)	71.7%	56.4%	+3.8%	category leader, still growing
Google Ads	27.7%	26.2%	-1.6%	#2, share slipping
LinkedIn Ads	22.8%	1.9%	-3.2%	broad reach, thin spend
TikTok Ads	12.3%	8.0%	+1.4%	gaining
Microsoft Ads	6.3%	1.4%	+0.2%	long tail

SOURCE: Ramp Data · data as of 2026-04. Two-sided read: Google Ads is a Paid-Ads spend leader, but Google's share of AI/LLM adoption is a fraction of OpenAI's and Anthropic's. Ramp's panel is corporate-card spend across 50k+ businesses and skews SMB / mid-market, so it under-captures committed enterprise contracts.

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-06-05 · period 2026-06-05	View on EDGAR >
8-K	filed 2026-06-05 · period 2026-06-02	View on EDGAR >
10-Q	filed 2026-04-30 · period 2026-03-31	View on EDGAR >
10-K	filed 2026-02-05 · period 2025-12-31	View on EDGAR >
10-Q	filed 2025-10-30 · period 2025-09-30	View on EDGAR >
10-K	filed 2025-02-05 · period 2024-12-31	View on EDGAR >

SOURCE: SEC EDGAR · CIK 0001652044 · primary filings of record.

SLIDE-READY BULLETS

- 1

Alphabet Q1'26: revenue \$109.9B (+22%), Cloud \$20.0B (+63%), op margin 36.1%, net income \$62.6B, AI spend is converting to revenue.
- 2

Trades at 4.9x EV/Rev (2026-06-03 close), the cheapest of the big-tech mega-caps (MSFT/AAPL ~10x, META 6.4x) despite the fastest growth ex-Nvidia.

- 3

Full-stack AI is the differentiator: Gemini 3 leadership, 750M+ Gemini MAUs, and custom TPUs now sold externally (Anthropic ~\$40B/5GW, Blackstone JV).
- 4

Cloud backlog >\$460B and Apple choosing Gemini for Siri validate enterprise/model leadership, but \$180-190B capex is the price.
- 5

Key debate: do AI Overviews protect Search economics, and do the DOJ Search appeal + adtech remedy stay contained?

SMART DILIGENCE QUESTIONS

- Q1

How durable is Search ad monetization as AI Mode/AI Overviews shift query behavior, what is revenue-per-query doing?
- Q2

What is the realistic external-TPU revenue ramp net of cannibalizing DeepMind's own training capacity, and at what gross margin?
- Q3

Across scenarios for the DOJ Search appeal and the adtech remedy, what is the downside to ad EBIT and group multiple?

SLIDE KIT

Logo, stats, and copy-paste artifacts

Alphabet Inc.

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- Digital Advertising
- Cloud / AI Infrastructure
- Frontier AI

COPY-PASTE STATS

\$109.9B (+22% YoY)

TOP 3 SLIDE BULLETS

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BRAND COLORS

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BRAND TAGS

- Digital Advertising
- Cloud / AI Infrastructure
- Frontier AI

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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ATLAS